

# The Human-AI Partnership Framework

Where human judgment belongs

## Record-to-Report

PCF 9.3, 9.8 — General accounting, financial reporting & internal controls — Value Stream Profile

This value stream comprises two APQC PCF process groups: 9.3 Perform General Accounting and Reporting and 9.8 Manage Internal Controls — spanning 7 Level 3 processes and 42 Level 4 activities, the largest value stream in PCF 9.0 by both measures.

At the activity level, this value stream's work breaks down as 20 Transaction activities, 12 Document activities, 5 Decision activities, 4 Knowledge activities, and 1 Exception activity.

At M3 (HITL Design Intent), the value stream's aggregate human-involvement ratio is 49%, down from a 73% undesigned baseline — a 24-point AI convergence opportunity.

|                          |                            |                              |                                   |                          |
|--------------------------|----------------------------|------------------------------|-----------------------------------|--------------------------|
| L3 PROCESSES<br><b>7</b> | L4 ACTIVITIES<br><b>42</b> | M1 BASELINE H%<br><b>73%</b> | M3 DESIGN INTENT H%<br><b>49%</b> | Δ M1 → M3<br><b>-24%</b> |
|--------------------------|----------------------------|------------------------------|-----------------------------------|--------------------------|

## KPIs

| Business Impact Metric & Formula (where confirmed)                                                                                                                                                                   | Source                               |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| <b>Cycle time to close</b><br><i>Business days from period-end to finalized, published financial statements</i>                                                                                                      | APQC OSB                             |
| <b>General accounting cost ratio</b><br><i>% of revenue spent on general accounting and financial reporting activity</i>                                                                                             | APQC OSB                             |
| <b>Journal entry automation rate</b><br><i>% of journal entries posted without manual intervention</i>                                                                                                               | The Hackett Group                    |
| <b>Control deficiency remediation cycle time</b><br><i>Average days from deficiency identification to remediation and re-test</i>                                                                                    | IIA (Institute of Internal Auditors) |
| <b>Material weakness / significant deficiency count</b><br><i>Count of open material weaknesses and significant deficiencies at period-end, assessed against COSO Internal Control—Integrated Framework criteria</i> | COSO                                 |

## Design Narrative

Record-to-Report spans two APQC process groups — 9.3 General Accounting and Reporting and 9.8 Manage Internal Controls — and its accountability pattern reflects that combined scope: VP Controller holds a plurality rather than a majority, Accountable for 3 of 7 L3s, but those three are the stream's framing L3s — financial-policy setting (9.3.1), financial reporting itself (9.3.4), and internal-controls establishment (9.8.1) — the stream's policy-in/report-out boundary. Director of Accounting owns the transactional core between those bookends: general accounting (9.3.2) and fixed-asset accounting (9.3.3). Internal Audit Manager owns the stream's compliance-monitoring half (9.8.2, 9.8.3), operating and reporting on the controls VP Controller establishes. This is the largest value stream in PCF 9.0 by both L3 count (7) and activity count (42), and industry finance-transformation frameworks — including The Hackett Group's global business services benchmarking — treat record-to-report as one of finance's three core operational value chains alongside order-to-cash and procure-to-pay, not a supporting function, which is why it classifies Operational rather than Enablement despite carrying the domain's internal-controls governance. Its steepest AI-absorption opportunity sits in 9.3.1.3 (Publish accounting policies, Document-pattern, -32 points).

## AI Capability Map

Pattern-type distribution across this value stream's activity units. H% figures are the pattern type's standard value at each maturity level, applied consistently across all PCF domains.

|                                                                                                                                   |                                                                                                                               |                                                                                                                         |                                                                                                                          |                                                                                                                            |
|-----------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| <b>Decision</b><br><i>Judgment &amp; Authority — gates that stay human by design</i><br><b>5 L4 activities</b><br>M1 92% → M3 80% | <b>Knowledge</b><br><i>Synthesis &amp; Interpretation — judgment-driven work</i><br><b>4 L4 activities</b><br>M1 85% → M3 65% | <b>Document</b><br><i>Content Generation — drafting and communication</i><br><b>12 L4 activities</b><br>M1 72% → M3 40% | <b>Transaction</b><br><i>Rules-Based Processing — suited to automation</i><br><b>20 L4 activities</b><br>M1 60% → M3 35% | <b>Exception</b><br><i>Non-Standard Resolution — human-resolved by nature</i><br><b>1 L4 activities</b><br>M1 95% → M3 82% |
|-----------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|

## Process Accountability

| Process Accountability | Tier       | L3 Processes        | L4 Activities |
|------------------------|------------|---------------------|---------------|
| VP Controller          | Executive  | 9.3.1, 9.3.4, 9.8.1 | 18            |
| Director of Accounting | Managerial | 9.3.2, 9.3.3        | 18            |
| Internal Audit Manager | Managerial | 9.8.2, 9.8.3        | 6             |

## Handoff Points

Record-to-Report opens with VP Controller-accountable policy setting (9.3.1), then hands to Director of Accounting for the transactional core — general accounting and fixed-asset accounting (9.3.2, 9.3.3).

Director of Accounting's postings and reconciliations feed VP Controller's financial reporting (9.3.4) — business-unit statements, consolidation, and board/regulatory filings.

In parallel, Internal Audit Manager operates and reports on the internal controls VP Controller establishes (9.8.1) — monitoring control effectiveness, remediating deficiencies, and reporting compliance status (9.8.2, 9.8.3) back to VP Controller and the CFO.

## Governed Decision Points

Every Decision/Exception-pattern activity in the value stream, including those embedded inside Mixed-labeled steps.

| PCF     | Decision                                              | Authority              | Impact                                                                                   | Escalates To              | Trigger                                                                                                                |
|---------|-------------------------------------------------------|------------------------|------------------------------------------------------------------------------------------|---------------------------|------------------------------------------------------------------------------------------------------------------------|
| 9.3.1.4 | Set and enforce approval limits                       | VP Controller          | Financial — establishes enterprise-wide spending and approval authority thresholds       | CFO (Executive)           | Proposed threshold change affects enterprise-wide delegation-of-authority policy                                       |
| 9.8.1.1 | Establish board of directors and audit committee      | VP Controller          | Governance — defines the board-level oversight structure for internal controls           | CFO (Executive)           | Board or audit committee composition/charter change requires CFO and board-level ratification                          |
| 9.8.1.3 | Assign roles and responsibility for internal controls | VP Controller          | Governance — allocates control ownership across the finance organization                 | CFO (Executive)           | Control ownership reassignment crosses department boundaries or removes an existing control owner's Accountable status |
| 9.8.1.5 | Define entity/unit risk tolerances                    | VP Controller          | Strategic + Compliance — sets the risk appetite internal controls are calibrated against | CFO (Executive)           | Proposed risk tolerance falls outside the enterprise risk appetite the CFO and board have approved                     |
| 9.8.2.2 | Remediate control deficiencies                        | Internal Audit Manager | Compliance — closes a confirmed gap in internal control design or operation              | VP Controller (Executive) | Deficiency is classified as a significant deficiency or material weakness under SOX/COSO criteria                      |